This was, however, seen by some Tata veterans as a game plan to make Kashyap his successor after perhaps a short stint at the helm by J.J. Irani. But Mody had run afoul of Article 174 of the company's Articles of Association by not taking prior approval of the board. Neither were JRD or Ratan consulted. Surprised at what he saw as a lack of rationale in the decision, Ratan wrote to Mody on 28 November 1991 saying: 'I feel strongly that the "re-shuffle" in the firm will tend to destroy this unity … I do not see how these changes either improve the operational efficiency or streamline the working of the Company.'

A defiant Mody, in his reply, justified his actions stating that only two new designations had been created and that they did not entail any reallocation of power or authority. He was motivated to make the changes to 'recognize outstanding merit' and to build up a succession plan according to 'competence, qualifications and age group of the directors', he added.

'Circles close' to Mody had also claimed that the Arthur D. Little report had rated Kashyap highly, 'far ahead of his compatriots'. The claim was, however, contested fiercely by Irani who declared that the report he had received had not rated anybody's performance. Also, since Kashyap and Hussain were both younger than Irani, who was fifty-four, Mody claimed that he believed it was time to groom the younger managers for greater long-term responsibilities.

The letter lit the fires of revolt in Irani. He felt insulted. He saw this as administrative chicanery by Mody and strongly voiced his concerns to JRD and Ratan. The battle lines were drawn, splitting TISCO right down the middle. Besides the higher management, the workers too took sides.

To calm the situation, Mody met JRD and Ratan and apologized to the board. But both insisted that Mody reverse his decision. When it became clear that the decision could be put to a vote in the board, he agreed to restore Irani to his earlier designation, clarifying his position in TISCO hierarchy. Kashyap and Hussain were designated as senior executive directors.

Following the meeting, Mody held a press conference, which was also attended by JRD, Ratan, Palkhivala and other directors. There, Mody admitted to his lapse. It was the first time that the chairman of a Tata company had made a public declaration of his mistake.

But what followed surprised many. Ratan rose in support of Mody when a leading economic daily was critical of what had happened. He wrote to